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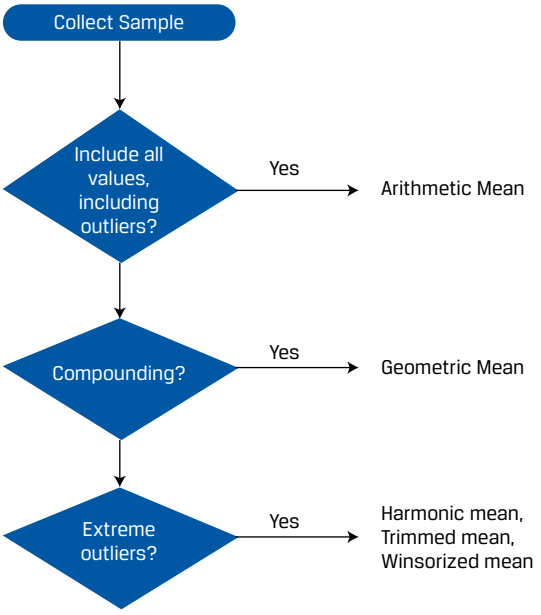
Exhibit 8: Deciding Which Measure to Use



QUESTION SET

A fund had the following returns over the past 10 years:

Exhibit 9: 10-Year Returns

Year	Return
1	4.5%
2	6.0%
3	1.5%
4	–2.0%
5	0.0%
6	4.5%
7	3.5%
8	2.5%
9	5.5%
10	4.0%

1. The arithmetic mean return over the 10 years is *closest* to:

   A. 2.97 percent.

   B. 3.00 percent.

   C. 3.33 percent.

   Solution:

   B is correct. The arithmetic mean return is calculated as follows: